

Fearnleys Dry Bulk Weekly

Apr 2, 2025

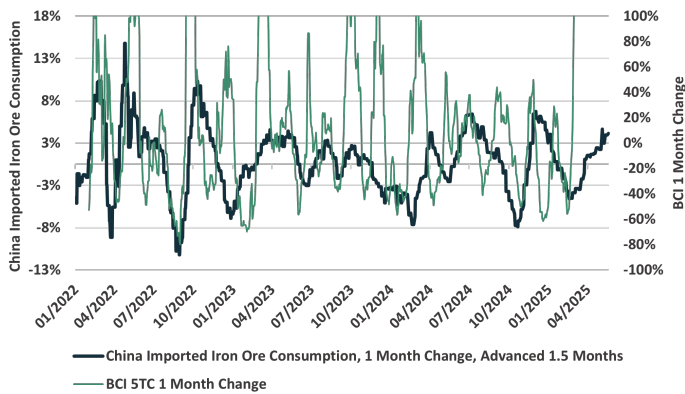
Bernhard Baardson

Capesize/Newcastlemax

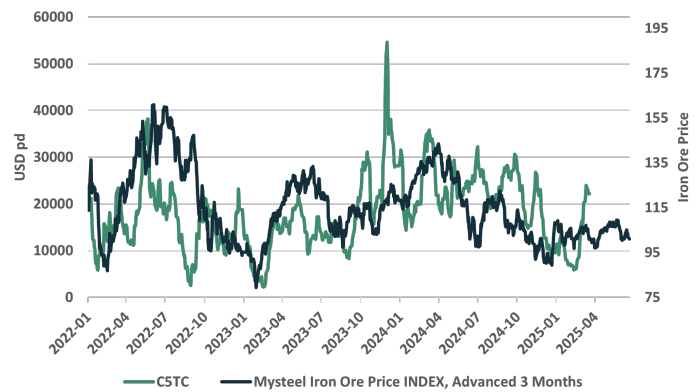
Last week, we wrote the following: *Notwithstanding the last week's market softness, year-to-date spot market highs within the next month seem likely. Imported iron ore consumption in China has kept rising. VLOCs will be "out" of the market for a while still. We think C3 looks tight, and even though C5 activity was very low last week the market drop has not been significant. Activity on C5 has picked up this week.*

China's imported iron ore consumption rose further last week, and MySteel forecasts consumption to increase more this week and the next. This reaffirms our bullish near-term view on the market.

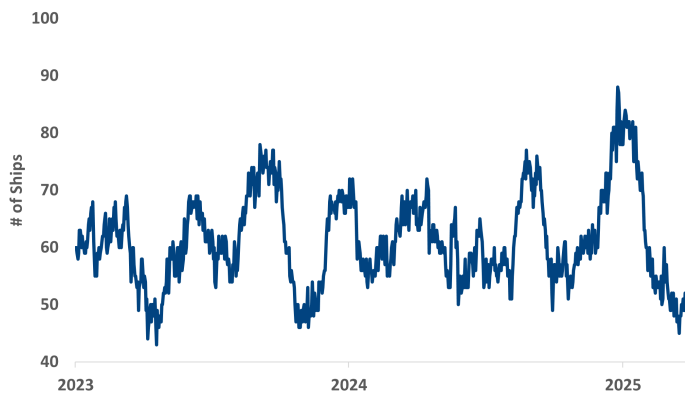
China Imported Iron Ore Consumption, 1 Month Change (1.5 Months Lead) vs Capesize 5TC 1 Month Change



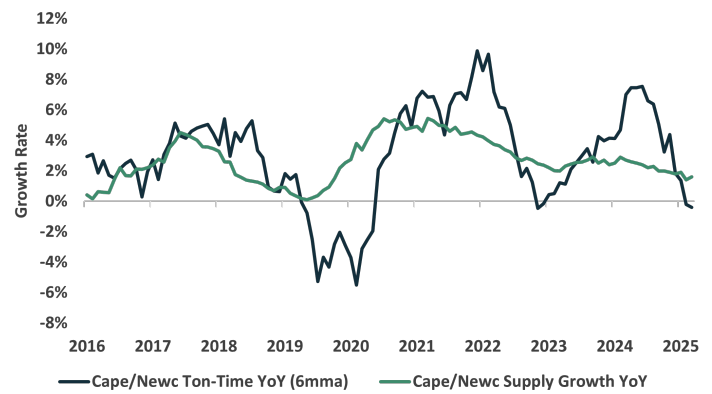
Iron Ore Price, 3 Months Lead vs BCI5TC



VLOCs Heading to Brazil



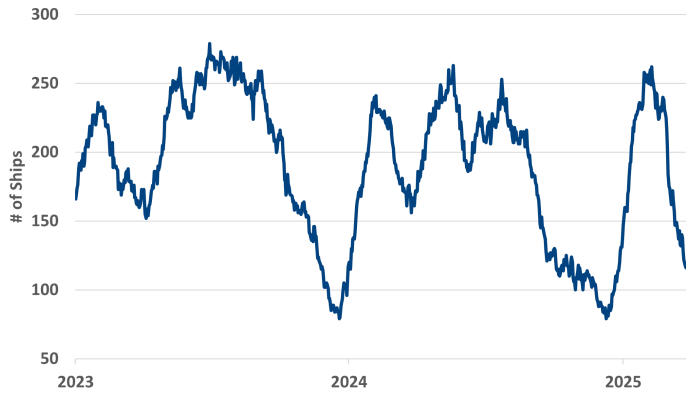
Capesize/Newcastlemax Market Balance



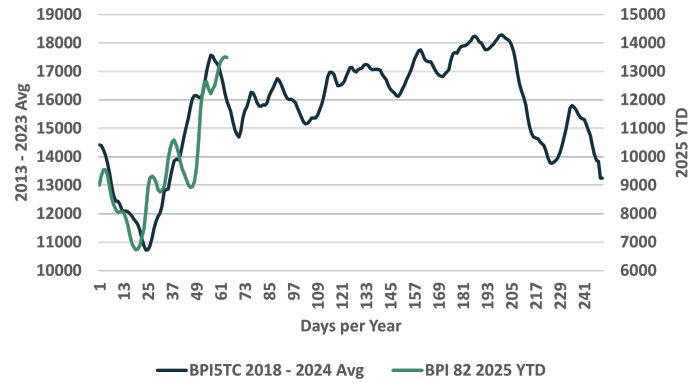
Panamax/Kamsarmax

Last week, we wrote the following: *Average seasonality suggests the market could be close to peaking. However, the second wave of the ECSAM Soybean season is incoming, and the ballaster list looks thin. The Pacific also looks firm for the time being. So even though the market could be near a peak, we do not expect much, if any, downside from current levels in the next month. Last year, the "second wave" of the ECSAM grain season started on the 25th of March (defined as the bottom in the count of Pmx/Kmx sailing towards Brazil basis AIS). In 2023, the second wave started on the 5th of April. So it should be imminent now, and it will provide market support. Apart from ECSAM grains, coal shipments in the Pacific remain lower y-o-y, the US grain season will wind down, and the general macro-economic picture is not bullish. So, notwithstanding potential YTD spot market highs driven by ECSAM, the lower y-o-y market is likely to continue.*

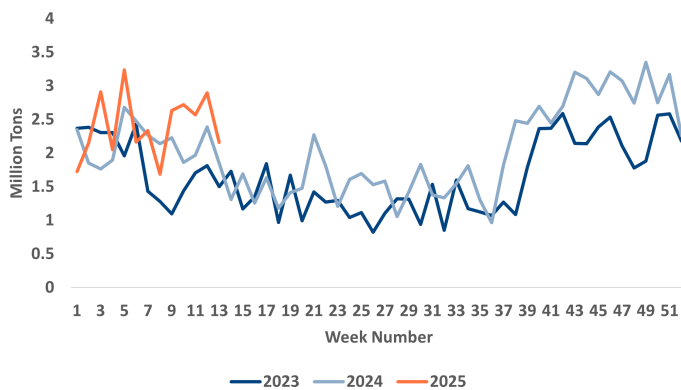
Panamax / Kamsarmax Heading to Brazil



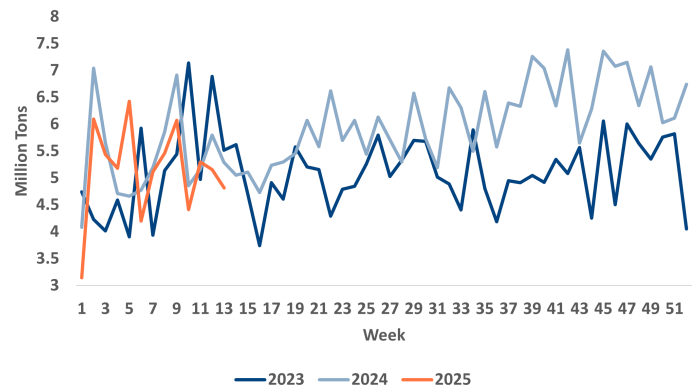
Kamsarmax Market Seasonality



USA Panamax/Kamsarmax Exports by Year



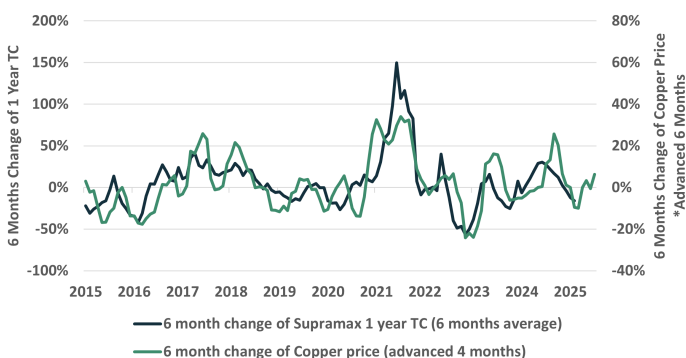
Indonesia Panamax/Kamsarmax Coal Exports by Year



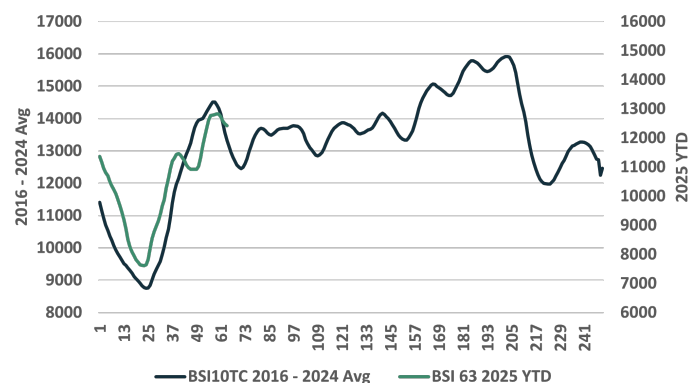
Supramax/Ultramax

There is no change to our viewpoints given in the last weeks. The market often peaks around this time of year, and it seems we are on track for that development. Industrial metals prices have taken a tumble over the last weeks, and coal market fundamentals remain weak. With that backdrop, it is hard to expect much, if any, upside going forward. However, the second wave of the ECSAM grain season should provide market support, so we do not see any major drop coming in the near term.

Copper Price Lead vs Supramax 1 Year TC 6 Months Change

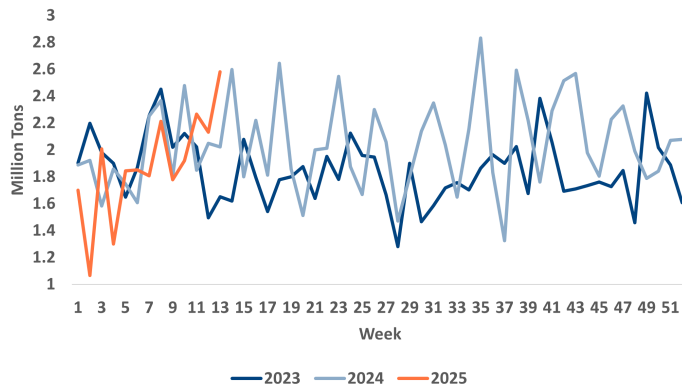


Supramax / Ultramax Market Seasonality

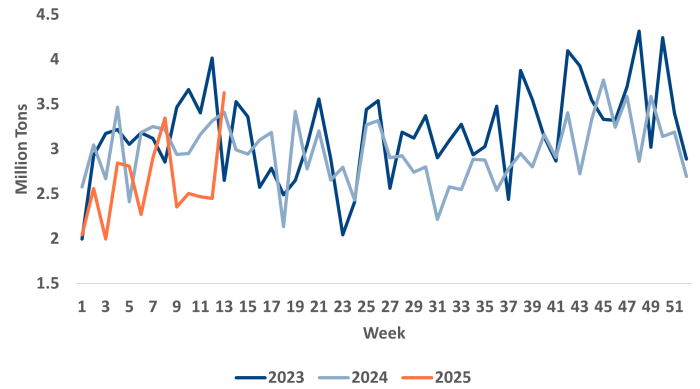




Supramax/Ultramax USA Exports by Year



Supramax/Ultramax Indonesia Coal Exports by Year





Disclaimer

1. Introduction

The statistical and graphic information set forth in the analysis is compiled by Fearnresearch and based on the databases and time series supplied by Fearnresearch, the research division of Fearnleys AS, and other external sources of information. Fearnresearch compiles, processes and publishes data for the benefit of the brokering departments of Fearnleys AS and its clients. Its methodologies for collecting data, and therefore the data collected, may differ from those of other sources, and its data do not reflect all or even necessarily a comprehensive set of actual transactions occurring in the market. Certain estimates may be based on prevailing market conditions. There can be no assurance that such data reflect actual market conditions.

Data compilation, especially for earlier historical periods, is subject to limited audit and validation procedures. Both closed and open sources, interviews and market intelligence to gain information on different topics may be used. Accordingly, there can be no assurance as to the accuracy or completeness of the estimates, advice, statements and any other information contained in the analysis.

2. Risks

Research coverage of Fearnleys AS encompasses solely companies within the shipping sector. This sector is cyclical by nature and will over time presumably experience higher volatility than the overall market.

3. Confidentiality

Pursuant to Fearnleys' Code of Conduct, all employees of Fearnleys AS are subject to duty of confidentiality towards clients and with respect to handling inside information. All employees shall follow strict information handling procedures and other organizational procedures to minimize conflicts of interest within Fearnleys and between clients.

4. General Disclaimer of Liability

The analyses, estimates, advice, statement and any other information contained in the analysis are prepared and presented in good faith. However, neither Fearnresearch, Fearnleys AS nor any of their subsidiaries, associated companies, organisations, management personnel, employees, agents or independent contractors (collectively the "Fearnley Interests") shall under any circumstances be under any liability for any losses, damages or costs caused to any person, company or other legal entity arising or resulting directly or indirectly from reliance on any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information contained in the analysis resulting directly or indirectly from any negligent or gross negligent act(s) or omission (s), or wilful misconduct, committed by any of the Fearnley Interests.

In the event that a court or tribunal, notwithstanding the above liability exemptions, should hold any, some or all of the Fearnley Interests liable in damages for any inaccurate, incorrect, incomplete or misleading analyses, estimate, advice, statement or any other information, the liability shall not under any circumstances whatsoever exceed in total ten (10) times the fees payable for the analysis in question, or US\$ 100,000 (United States Dollar Hundred Thousand), whichever is the higher.

Under no circumstances whatsoever shall the individual or individuals who have caused the losses, damage or costs be held personally responsible or liable in any way. The Fearnley Interests shall under no circumstances whatsoever be liable for punitive damages.

The analysis is prepared to the benefit of the named addressee only. No other third party may rely on the analysis or any of its content without prior written approval of Fearnley Consultants AS.

Should any part of this clause be held unenforceable, non-operative or invalid by a court or tribunal, the remaining parts shall remain in full force.

5. Processing of Personal Data

The processing of personal data within Fearnleys AS is subject to strict rules and regulations. Our Privacy Policy describes the procedures for processing personal data according to the General Data Protection Regulation (GDPR). Please see our homepage for more information on this.

Fearnleys AS

Dronning Eufemias gate 8
0191 Oslo
Norway
+47 22 93 60 00

An Astrup Fearnley Company